

MDA Advanced Capability Concepts, Solicitation No. HQ0860-25-S-C001
Attachment 2
Requirements for Other Transaction Agreements

The following document provides an overview of some of the applicable requirements should an Other Transaction (OT) Agreement be recommended. Note, this list is not all inclusive and the final agreement will be negotiated prior to award.

- A. Other Transaction Authority:** MDA has the authority to enter into OT agreements for basic, applied, and advanced research under 10 U.S.C. § 4021 and OT agreements for prototype under 10 U.S.C. § 4022. These authorities are designed to encourage new or non-traditional defense contractors (defined at 10 U.S.C. § 3014) to work with the Department of Defense (DoD). These authorities allow MDA to bring new, cutting-edge solutions to the warfighter by, to the maximum extent practicable, accommodating a performer's existing business practices and commercial industry standards. Traditional defense contractors are also encouraged to engage in OT agreements, particularly if they want to adopt commercial-like practices or standards, diversify into the commercial sector, or partner with non-traditional defense contractors.
- B. Follow-On Production:** If an OT for prototype under the authority of 10 U.S.C. § 4022 is entered into pursuant to this solicitation, this solicitation and the entry into an OT agreement for prototype, will be considered the result of competitive procedures such that a follow-on production agreement or contract may be awarded.
- C. Eligible Offerors:** All offerors looking for innovative, commercial-like arrangements are encouraged to propose the use of an OT, should it be appropriate for the nature of the proposed effort. Offerors are encouraged to review 10 U.S.C. § 3014, 10 U.S.C. § 4021 and 10 U.S.C. § 4022 to determine eligibility and conditions for OT awards. If an offeror proposes to enter an OT as a non-traditional defense contractor, they will be required to self-certify this business status prior to award.
- D. Regulation/Statute:** Any OT awards resulting from this solicitation will maximize the use of commercial industry standards. While most FAR and DFARS regulations are not applicable to OTs, they may be adopted at the Government's discretion. Any agreements awarded as a result of this solicitation will incorporate the appropriate articles based on statute. OT awards are subject to the following statutes, at a minimum:
- False Claims Act – 31 U.S.C. § 3279
 - False Statements – 18 U.S.C. § 1001
 - Civil Rights Act – 42 U.S.C. § 1981
 - Clean Air Act – 42 U.S.C. § 7401
 - Clean Water Act – 33 U.S.C. § 1251
 - Endangered Species Act – 16 U.S.C. § 1531
 - Antideficiency Act (ADA) – 31 U.S.C. § 1341/1342/1517
 - Procurement Integrity Act – 41 U.S.C. § 2101, et seq.

- Prohibition Against Doing Business with Certain Offenders and Contractors – 10 U.S.C. § 2393
- Arms Export Control Act - 22 U.S.C. § 2751
- Federal Property and Administrative Services Act – 40 U.S.C. Subtitle 1
- DoD National Industrial Security Program – DoD Instruction 5220.22 and DoD Manual 5220.22
- DoD Financial Management regulation (FRM) – DoD FMR 7000.14-R

E. Comptroller Access to Records: Any OT agreements awarded as a result of this solicitation that exceed \$5,000,000 will be subject to the right of the Comptroller General of the U.S. to access and examine the records of the offeror that are reasonably related to the offeror's performance under the agreement.

F. Offerors selected for Step-Two will be subject to the following requirements, at a minimum:

- 1. Rights in Intellectual Property to include Technical Data and Computer Software:** The Government anticipates the right to use, duplicate, release or disclose technical data and/or computer software, developed exclusively with Government funding, without restriction. The Government further anticipates the right to use, duplicate, release or disclose technical data and/or computer software developed with mixed (Government and Performer) funding, for Government purposes only. Prime offerors and their subcontractors will be required to identify and assert any restrictions on the Government's use, release, or disclosure of technical data and/or computer software delivered under the effort. If no restrictions are being asserted, the offeror shall so state. Government rights may be further negotiated prior to award.
- 2. Organizational Conflict of Interest:** Prime offerors and their subcontractors will be required to identify any potential or actual organizational conflicts of interest (OCI) related to the proposed effort. The Government will assess any OCIs in accordance with the rules, procedures and responsibilities described in FAR 3.101-1, FAR Subpart 9.5 and DFARS Subpart 209.5. MDA will conduct an OCI analysis based on the information submitted, as well as any additional information requested.
- 3. Cost Data:** Prime offerors and their subcontractors may be required to submit cost data to support the Government's determination of price reasonableness.